



MAKING MARKETS WORK FOR CSR

Address by Chairman Y. C. Deveshwar
at ITC's 96th Annual General Meeting, 27th July, 2007

It gives me great pleasure to welcome you to the 96th Annual General Meeting of your Company.

It is a matter of satisfaction for me to report, yet another year of robust growth and strong performance encompassing all the business segments of your Company.

The foundations that we have laid over time by investing in R & D, technology and innovation for international competitiveness, supported by a robust governance structure, continue to drive growth in your Company's multiple businesses, providing a strong momentum for a secure future.

FINANCIAL PERFORMANCE

Gross Turnover for the year grew by 20.2% to Rs. 19505 crores. **Net Turnover at Rs.12369 crores increased by 26.3%** driven by the non-cigarette FMCG businesses, higher agri-business revenues and the continuing strong performance by the Hotels business. **The non-cigarette portfolio** grew by 37.6% during the year and **now accounts for 52.3%** of the Company's Net Turnover. Pre-tax profit increased by 20.1% to Rs. 3927 crores, while **Post-tax profit at Rs. 2700 crores registered a growth of 20.8%**. Earnings Per Share for the year stands at Rs. 7.19. **Cash flows from Operations stood at Rs. 3402 crores during the year.**

The ITC Group's contribution to foreign exchange earnings over the last ten years amounted to nearly USD 2.8 billion, of which agri exports constituted nearly 65%. Earnings from agri exports is an indicator of your Company's contribution to the rural economy by effectively linking small farmers with international markets.

You, the shareholders, can draw even greater satisfaction from the fact that these financial results rest on a strong foundation of trust earned by your Company's diverse brands, products and services and the enduring relationships formed with millions of farmers in rural India over several years. It is on this bedrock of trust, competencies, innovation and rural partnerships that we have built our aspiration to be a leader in every business segment we are engaged in.

SUSTAINABLE AND INCLUSIVE GROWTH

Last year, I had spoken to you on the fundamental pillars of Vision, Values and Vitality that have powered the transformation of your Company over the past decade. I reiterated that envisioning a larger societal purpose has always been the hallmark of your Company. Indeed, this 'commitment beyond the market' is a compelling Vision that motivates us to enlarge our contribution to the Indian Society, even as we attain new milestones of excellence in sustainable wealth creation.

We have, over the years, pursued relentless innovation to forge unique business models that synergise long-term shareholder

value enhancement with the superordinate purpose of creating greater societal capital. **We take pride that your Company is defined by its deeply 'Indian' character that aligns corporate strategy to national priorities.**

It is for this reason that we measure our accomplishments not only in terms of financial performance but also by the transformation we have consciously engendered to augment the natural and social capital of the nation. **This approach towards achieving Triple Bottom Line benchmarks is key to our resolve to contribute to the national goal of sustainable and inclusive growth.** It is my firm belief that business enterprises can and must make a difference towards achieving greater social equity. It is through a fundamental and unwavering commitment to Triple Bottom Line objectives that long-term sustainability of business enterprises can be ensured, unleashing in the process strong drivers that can make national progress more inclusive and equitable.



ITC has received global recognition as an exemplar of Triple Bottom Line performance. **For five years in a row, we have achieved and sustained our status as a 'water positive' organisation. We have also been 'carbon positive' for the last two years. We continue to strive towards achieving a 'zero solid waste' discharge status, having recycled over 90% of solid waste produced during the year.** This makes us, to the best of my knowledge, the only business enterprise in the world, of our size and complexity, to accomplish these three dimensions of environmental excellence – an extremely challenging task given the fact that we are continuously growing our manufacturing operations.

In addition, through a concerted effort to develop innovative value-chains across our diverse business segments, your Company today is instrumental in creating and sustaining livelihoods for nearly 5 million people, many of whom represent the weakest sections in rural India.

Our deep commitment in ensuring sustainability and